R.1.2. Non Tax Revenues

R.1.2.1. Interest Receipts

It is the interest income from the loans given by the Central Government to state governments and other government bodies.

R.1.2.2. Dividends and Profits

Dividends from public sector enterprises and other investments, dividend/surplus of Reserve Bank of India, nationalised Banks and financial institutions are accounted as dividend and profits.

RBI prints the currency notes keeps a part with it and circulate the rest. In addition the commercial banks keeps their currency reserve with the RBI. The printed currency notes and the reserves maintained by the Commercial banks are fixed liabilities for which the RBI does not pay any interest.However, the central bank invests that money in domestic and foreign government bonds and earns interest. The total cost of printing the currency is approximately 1/7th of the total interest income. Approximately the balance 6/7th of interest income is profit for RBI.

The nationalised banks, financial institutions and Public sector enterprises generate profit through their business activities.

R.1.3. Other Non-Tax Receipts

R.1.3.1. Fiscal Services

R.1.3.1. a. Currency, Coinage, Mint

Revenue from currency, coinage and mint, which is profit from circulation of coins, is accounted under this head. The Government of India has the sole right to mint coins. The responsibility for coinage